goal. Banks can be a good place to accumulate the “three-month emergency cushion” discussed in Chapter 2. You might also want to consider putting savings beyond that into something called a money fund, which I will discuss in Chapter 5. Your goal is to find a safe, high-paying account with **liquidity,** meaning you can withdraw your cash whenever you want without any penalty.

Check on www.bankrate.com or www.bankingmyway.com to find the best deals on savings accounts that pay the highest interest. Here are some details on the interest-paying accounts you will encounter:

- **Basic savings accounts.** This plain-vanilla type of account is the simplest way to keep money in the bank and earn interest on it. Most major banks require you to maintain a minimum balance (usually $300 to $500) or they’ll charge you a monthly fee. The bummer about savings accounts in traditional banks is that they tend to pay very low—almost negligible—interest. Banks eventually raise the rates on savings accounts when interest rates in the economy rise, but they’re very slow in doing this.
- **Internet savings accounts.** In recent years, rates on Internet-only accounts have been higher than those on traditional bank savings accounts. Internet banks are able to offer these rates because their expenses are much lower than regular banks, although there’s no guarantee those rates will remain so high. Generally you can open an online savings account in less than five minutes with no minimum cash requirement (though it will take about a week for the money to appear in your new account). The money you keep in a federally insured Internet bank account is normally protected for up to $100,000 (the government upped it to $250,000 until at least December 31, 2009), just as it would be at a traditional bank, so if the bank goes out of business you won’t lose your savings. Check by searching the Federal Deposit Insurance Corporation’s website (www.fdic.gov) or contact the FDIC Call Center on 877-ASKFDIC (877-275-3342).